Blurt sheet - Unit 3.9 Strategic methods: how to pursue strategies

3.9.1 Growth & Retrenchment

- **Organic growth:** growing from within
- **External growth:** joining with or buying other businesses
- **Retrenchment:** cutting back the scale of the business

3.9.1 Economies, Diseconomies & Overtrading

- **Economies of scale (AQA):** technical, purchasing, managerial
- **Economies of scope:** lower costs from sharing resources across a range of products
- **Diseconomies of scale:** unit costs rise as the business grows too large
- **Synergy:** combined businesses achieve more than separately
- **Overtrading:** growing faster than working capital can support

3.9.1 Methods & Types of Growth

- **Methods of growth (AQA):** mergers, takeovers, ventures, franchising
- **Horizontal integration:** same stage, same industry
- **Backward vertical integration:** buying a supplier
- **Forward vertical integration:** buying a business closer to the customer
- **Conglomerate integration:** unrelated industry

3.9.2 Innovation

- **Product innovation:** new or improved goods and services
- **Process innovation:** new or improved ways of producing them

3.9.2 Becoming Innovative & Protecting Ideas

- **Kaizen:** continuous improvement through many small changes
- **Intrapreneurship:** employees acting like entrepreneurs inside the business
- **Benchmarking:** comparing with the best and adopting better practice
- **Patent:** sole right to make and sell an invention for a set period
- **Copyright:** protects original creative work automatically

3.9.3 Globalisation & Emerging Economies

- **Globalisation:** growing integration of economies through trade, investment, people and technology
- **Emerging economies:** fast-growing economies with rising incomes and lower costs

3.9.3 Entering International Markets

- **Methods of entry (AQA):** exporting, licensing, alliances, direct investment
- **Licensing:** a foreign firm makes the product for a fee
- **Multinational:** a business with operations in more than one country

3.9.3 Producing Abroad & Managing International Business

- **Off-shoring:** moving production or services abroad
- **Re-shoring:** bringing production back home
- **Pressures in international business:** local responsiveness v cost reduction

3.9.4 Digital Technology

- **Digital technology (AQA):** automation, e-commerce, big data, data mining
- **Big data:** very large data sets from customers, sales and devices
- **Data mining:** analysing big data to find patterns